

a month-by-month budget income. Do not forget to deduct taxes and other prepayments that are due.

### STEP 3

Compare the categories that you've just noted as income versus expenses. If your total expenses exceed income, you must evaluate every category to decide whether or not you are overspending and, if so, how spending can be reduced.

If your income exceeds your total expenses, you then have only to implement a plan that will help you meet your financial goals.